

PART FOUR

The Art of Investment

THE WALL STREET

INVESTOR

On Monday, May 28, 1962, prices of the New York Stock Exchange crumbled rapidly before an avalanche of sell orders. The Dow-Jones industrial average plunged nearly 35 points to register its biggest one-day drop in over 32

years. Crashing through the 600 level for the first time since 1960, it hit a day's low of 576.93.

By the end of the day, many big-board stocks were selling at prices from 30 to 80 percent below their 1962

highs. Shares traded on the American Exchange and over-the-counter markets followed suit and also went into nosedives. Headline writers were quick to respond to the developments being reported by the lagging ticker:

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BLACK MONDAY PANIC ON WALL STREET

INVESTORS LOSE BILLIONS AS MARKET

BREAKS NATION FEARS NEW 1929

DEBACLE

Such were the scare heads that appeared on the front pages of the nation's newspapers after the New York Stock Exchange closed for the day. By the time later editions came off the press, experts and analysts, economists and